

August 12, 2026 04:02 AM GMT

Lumentum Holdings Inc | North America

Easily Clearing a Challenging Bar

WHAT'S CHANGED

Lumentum Holdings Inc (LITE.O)	From	To
Price Target	\$900.00	\$1,000.00

AlphaSignals Earnings Reaction

Unchanged	↑ Modest upside	↑ Modest revision higher
Impact to our thesis	Financial results versus consensus	Direction of next 12-month consensus EPS

Source: Company data, Morgan Stanley Research

LITE's FQ2 posted upside, coming near the top of investor expectations. Outlook continues to come up as pricing/mix improve and new businesses ramp. Q largely played out as previewed, with reaction more muted until more clarity on NPO timing/size, something not likely until later this year.

Key Takeaways

- LITE's FQ4 largely played out as expected, with gross margins at the top end of investor expectations.
- Commentary was positive about NPO traction / opportunity, though as expected, no formal deal announcement.
- Numbers come up meaningfully, though don't expect buyside to materially change.
- Remain positively biased in near term, though catalyst to achieve PT a more formal NPO announcement.

Gross margins continue to impress, getting benefit of pricing / mix / yields; continue to need more clarity on NPO for next leg of appreciation. We have been far too conservative on LITE given perceptions that margin would eventually face pressure from capacity coming on in the space. Combination of better than expected demand, yield improvements and diversifying product base have continued to keep margins far higher than expectations, which [potential FCC rules](#) only serve to elongate (explaining in part the 40% run off bottom). So the question would be, why stay where you are, if it has been the wrong place? Similar to our preview, it is a perception of what the next catalyst is. The next catalyst for LITE is more formal contract / insight into how NPO opportunity plays out, and what type of margin profile that business would carry. We did not expect that level of detail on the quarter, did not get it, hence the more muted reaction post-market, with the company saying more formal announcements may not be made for a couple of quarters. **We are biased more positively in the near term given we see little downside, particularly with potential FCC rules looming. However, we don't see a**

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Lumentum Holdings Inc (LITE.O, LITE US)

Telecom & Networking Equipment | United States of America

Stock Rating	Equal-weight
Industry View	In-Line
Price target	\$1,000.00
Shr price, close (Aug 11, 2026)	\$820.59
Mkt cap, curr (mm)	\$71,166
52-Week Range	\$1,085.68-111.20

Fiscal Year Ending	06/26	06/27e	06/28e	06/29e
ModelWare EPS (\$)	6.55	19.17	32.78	44.25
EPS (\$)**	8.68	21.10	34.64	46.05
Div yld (%)	-	-	-	-

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework

** = Based on consensus methodology

e = Morgan Stanley Research estimates

QUARTERLY EPS (\$)

Quarter	2026	2027e Prior	2027e Current	2028e Prior	2028e Current
Q1	1.10	3.58	4.22	6.14	7.49
Q2	1.67	4.45	4.96	6.82	8.62
Q3	2.37	4.93	5.55	7.34	8.98
Q4	3.23	5.36	6.33	7.43	9.53

e = Morgan Stanley Research estimates

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clear catalyst in the name until the fall and into OFC next year when we could get more clarity on additional NPO engagements (given the stock already hanging out high-teens CY28e buy-side expectations).

What was meaningful on the quarter:

- **Pump lasers continue to be a source of pricing.** Pump lasers carry some of the highest gross margins in LITE's business. Leveraging position with 70-80% off the market, the company continues to take price (noting LTA's will continue to mix in higher priced product). Business grew 80% Y/Y, with company expecting a 4x increase in the coming quarters. Positive for CIEN / NOK demand trends in NT.
- **EML mix increasingly towards 200G; CW becoming greater portion of mix, but finding ways to improve margins.** LITE noted that they were on track to deliver 50% increase in EML units Y/Y by end of calendar year. However, with mix of 200G moving to 25% of units (and probably more like 40% of revenue, from 5%/10% unit / revenue 2 quarters ago, the company is getting a significant Y/Y bump from mix as they expand capacity. While CW mix is increasing, the company noted that margin gap between the two is closing (as they shrink the die size). Given company gets to use some of that internal capacity, there should be an additional margin benefit.
- **Reaching mid-term targets almost 2 quarters early.** When LITE threw out a \$1.25bn mid-term target in March, they noted it would take 9-12 months to reach that target (meaning Dec 2026 to March 2027 quarter). However, they guided to accomplish this target in the September quarter, slightly ahead of investor expectations. They are doing this given seeing OCS ramp slightly ahead of expectations, as well as stronger 200G EML mix. In terms of the longer term \$2bn target, which was supposed to be accomplished 9-12 months after the mid-term target, the company noted they do not need the Greensboro facility to be operational, with potential to reach those targets in the September to December 2027 quarter time frame.
- **NPO opportunity looking encouraging, but nothing formal just yet.** As we noted during the quarter and in our preview, much has been made of NPO vs. CPO, with questions about how attractive the opportunity is vs. CPO (where current engagement would use high powered lasers). The company noted that they view NPO as additive, and that they are seeing a wide variety of engagements on NPO, even from their lead CPO customer. The company noted a wide array of laser types are being evaluated, from mid-power to high-power, but that one shouldn't naturally assume that competitive differentiation / margin opportunity is less with the mid-power lasers. The company expects there could potentially be an NPO announcement in the coming couple of quarters (what we would see as the catalyst for the name).

Margin upside and mix changes cause us to raise estimates. LITE's FQ4 revenue / non-GAAP gross margins / EPS were \$1,006mm / 50.4% / \$3.23 vs. expectations of \$987mm / 48.9% / \$2.99. Upside largely came from OCS expects, with margin upside coming from EML mix, pricing on pump lasers, OCS ramping faster than expected. As a result of upside we are seeing, we are raising our estimates, most meaningfully on gross margins, particularly on OCS/telco. Our FQ1 / FY27 revised

revenue / non-GAAP gross margins / EPS are now \$1,251mm / 51.5% / \$4.22 and \$6,224mm / 52.2% / \$21.10 vs. \$1,122mm / 50.4% / \$3.89 and \$5,668mm / 51.2% / \$18.37 previously.

PT to \$1,000 from \$900; remain EW, see catalyst towards PT in next couple of quarters as NPO / CPO ecosystem comes together.

We are raising our PT to incorporate higher overall estimates and margins of the business continuing to outperform (with increased confidence in margins given potential FCC rules). Our multiples come in slightly, as our estimates get closer to buy-side estimates. We widen our bull / bear cases to incorporate more multiple volatility given moves over the last couple of months. Our \$1,000 PT represents 25x on our CY28e earnings power of ~\$40 (from 30x \$30). Our bear case valuation represents \$450 (from \$500), reflecting 15x on our CY28e bear case earnings power of \$30 (from 20x \$25). Our bear case accounts for weakening in pricing conditions and a much slower CPO / OCS ramp. Our bull case valuation is \$1,500 (from \$1,125) and reflects 30x our CY28e bull case earnings power of \$50 (from 25x \$45), which continues to expect OCS and CPO ramps without any hiccups (and that pricing can continue to be raised). Biggest risk to our PT is a turn in AI ecosystem valuations, InP constraints, delays in next-gen GPU architectures and delays to adoption of NPO.

Analysis

Exhibit 1: Estimate Changes

	2026A	Y/Y (%)	Q1-26A	Q2-26A	Q3-26A	Q4-26A	2026A	Y/Y (%)	2027E	Y/Y (%)
New Revenue	\$1,646.0	24%	\$533.8	\$666.6	\$808.4	\$1,006.3	\$3,014.0	83%	\$6,223.8	106%
Old Revenue	\$1,645.0	21%	\$533.8	\$665.5	\$808.4	\$986.7	\$2,994.4	82%	\$5,667.7	89%
% Change	0%		0%	0%	0%	2%	4%		40%	
New Gross Profit	\$674.6	39%	\$210.3	\$282.6	\$386.9	\$606.9	\$1,386.7	143%	\$3,264.7	134%
New Gross Margin	36%		39.4%	42.5%	47.9%	60.4%	46.0%		62.2%	
Old Gross Profit	\$571.5	39%	\$210.3	\$282.6	\$386.9	\$482.8	\$1,362.6	138%	\$2,899.2	113%
Old Gross Margin	35%		39.4%	42.5%	47.9%	48.9%	45.5%		51.2%	
% Change	0%		0%	0%	0%	6%	2%		42%	
New Operating Income	\$160.4	(2207%)	\$99.8	\$167.7	\$260.7	\$368.8	\$897.0	460%	\$2,667.0	186%
New Operating Margin	40%		18.7%	25.2%	32.2%	36.6%	30%		41%	
Old Operating Income	\$160.1	(2207%)	\$99.8	\$167.7	\$260.7	\$349.6	\$877.8	448%	\$2,250.0	156%
Old Operating Margin	10%		18.7%	25.2%	32.2%	35.4%	29%		40%	
% Change	0%		0%	0%	0%	6%	2%		44%	
New Adjusted EPS	\$2.06	366%	\$1.10	\$1.67	\$2.37	\$3.23	\$8.68	322%	\$21.10	143%
Old Adjusted EPS	\$2.06	366%	\$1.10	\$1.67	\$2.37	\$2.99	\$8.42	310%	\$18.37	118%
% Change	0%		0%	0%	0%	6%	3%		46%	

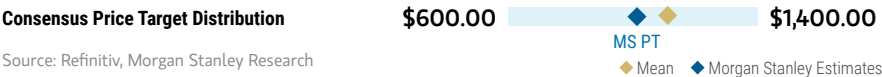
Source: Company data, Morgan Stanley Research

Risk Reward – Lumentum Holdings Inc (LITE.O)

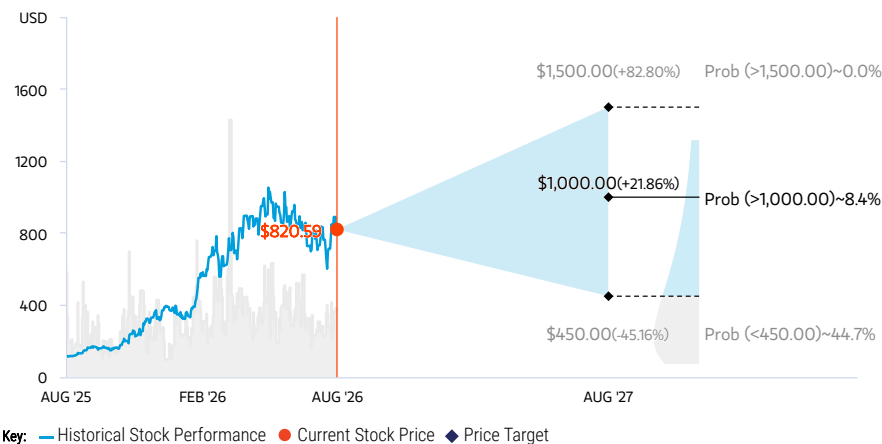
AI More Embedded Into Base Case, Greater CPO Adoption is Bull Case

PRICE TARGET \$1,000.00

25x CY28 P/E of ~\$40. ~25x is a premium to historical trading range given AI growth outlook



RISK REWARD CHART AND OPTIONS IMPLIED PROBABILITIES (12M)

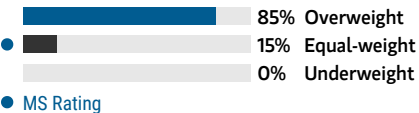


Source: Refinitiv, Morgan Stanley Research, Morgan Stanley Institutional Equities Division. The probabilities of our Bull, Base, and Bear case scenarios playing out were estimated with implied volatility data from the options market as of 11 Aug 2026. All figures are approximate risk-neutral probabilities of the stock reaching beyond the scenario price in either three-months' or one-years' time. View explanation of Options Probabilities methodology [here](#)

EQUAL-WEIGHT THESIS

- Datacom positioning attractive, particularly with ramping customer sets, but questions remain on margin contribution and impacts to earnings power
- Key questions remain on magnitude and timeline of OCS ramp and length of EML shortage.
- Upside to multiple likely limited by optical componentry being some of names most at risk from tariffs given intricate manufacturing that should be slower to move out of Asia, with LITE concentrated in Thailand

Consensus Rating Distribution



Risk Reward Themes

Secular Growth: Positive

View descriptions of Risk Rewards Themes [here](#)

BULL CASE	\$1,500.00	BASE CASE	\$1,000.00	BEAR CASE	\$450.00
~30x CY28 Bull Case Earnings Power (~\$50)		~25x CY28 P/E (~\$40)		15x CY28 Bear Case Earnings Power (~\$30)	
CPO penetration greater than expected. LITE able to achieve ~\$50 in CY28 EPS in our bull case as multiple business lines ramp -- including CPO seeing far greater adoption in scale-up / out than expected in early days. Exert meaningful pricing pressure, which maintains through CY28. Multiple remains at premium given growth outlook, particularly on scale-up.		Broad-based AI growth. Ramps to EMLs, Telco (DCI), transceiver, OCS and CPO business concurrently. Margin benefit from EML constraints and higher blend of EML / OCS/ CPO. Our multiple is a premium to historical trading range given AI capex spend.		Product lines have trouble ramping. OCS and CPO do not ramp to expectations on expected timeline. EMLs demand/supply reach equilibrium sooner than expected, pressuring margins. More signs that EMLs will lose share to CW (Silicon Photonics). Multiple trades closer to traditional ranges.	

Risk Reward – Lumentum Holdings Inc (LITE.O)

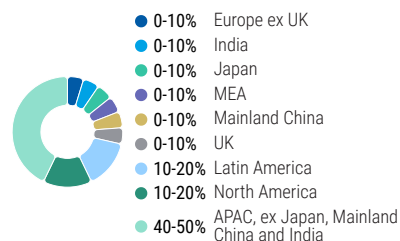
KEY EARNINGS INPUTS

Drivers	Jun 2026	Jun 2027e	Jun 2028e	Jun 2029e
Total Revenue (\$, mm)	3,014	6,224	10,027	13,318
Gross Margin (%)	46.0	52.2	53.6	53.8
Operating Margin (%)	29.8	41.2	43.8	45.2
EPS Growth Y/Y (%)	322.1	143.2	64.2	32.9

INVESTMENT DRIVERS

- Opportunities like 3D sensing still in early days
- ROADMs in early days of deployment in China
- Position as a consolidator as leverage levers more reasonable

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS

5/5 BEST	24 Month Horizon	5/5 MOST	3 Month Horizon
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Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Datacom ramps and revenue mix more attractive vs. expectations
- OCS ramps quickly, bringing additional revenue / profitability source
- AI demand remains strong, causing EML business to outperform and drive profitability
- CPO / NPO ramp faster than expected

RISKS TO DOWNSIDE

- EML pricing falls given oversupply on reduced AI demand
- CW takes share from EML
- Cloud Light hurts ability to improve margins
- Pushout in CPO timing

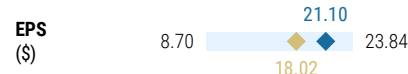
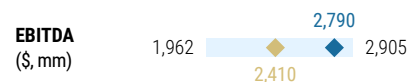
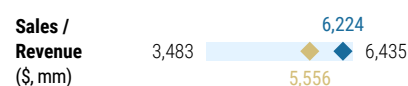
OWNERSHIP POSITIONING

Inst. Owners, % Active	55.8%	
HF Sector Long/Short Ratio	2.1x	
HF Sector Net Exposure	33.6%	

Refinitiv; MSPB Content. Includes certain hedge fund exposures held with MSPB. Information may be inconsistent with or may not reflect broader market trends. Long/Short Ratio = Long Exposure / Short exposure. Sector % of Total Net Exposure = (For a particular sector: Long Exposure - Short Exposure) / (Across all sectors: Long Exposure - Short Exposure).

MS ESTIMATES VS. CONSENSUS

FY Jun 2027e



◆ Mean ◆ Morgan Stanley Estimates

Source: Refinitiv, Morgan Stanley Research

Exhibit 2: LITE: Income Statement

FY	FY		FY		FY		FY	
	2023A	2024A	2025A	2026A	2027E	2028E	2029E	
1,767.0	1,399.2	1,645.0	8,014.0	6,223.8	10,026.8	13,317.5		
3.2%	3.2%	21.0%	3.2%	106.5%	61.1%	32.8%		
1,003.5	949.1	1,073.5	1,627.3	2,972.1	4,648.1	6,148.1		
763.5	410.1	671.6	1,386.7	3,251.7	5,378.7	7,189.4		
42.3%	20.2%	34.7%	40.6%	52.0%	53.2%	53.0%		
240.0	261.0	256.0	364.8	421.2	593.7	690.0		
179.3	196.7	190.4	184.9	203.3	395.1	459.2		
424.3	417.7	411.4	489.7	684.8	964.8	1,148.2		
39.2%	(7.4)	160.1	89.7	2,567.0	4,393.9	6,021.2		
139.2	-0.6%	9.7%	29.0%	41.2%	43.8%	45.8%		
29.6	42.5	15.2	39.9	51.2	70.6	133.2		
-	-	-	-	-	-	-		
368.9	34.9	175.3	93.9	2,618.2	4,464.6	6,154.4		
14.5%	14.6%	16.5%	16.5%	105.5%	16.5%	16.5%		
63.5	5.1	28.9	156.6	432.1	726.9	1,010.8		
33.5	28.8	146.4	76.2	2,186.1	3,727.7	5,138.7		
176.5	129.8	177.2	191.3	200.4	200.4	200.4		
138.8	(90.0)	(30.8)	991.0	1,986.7	3,527.3	4,939.3		
68.3	67.3	69.0	74.4	84.6	84.6	84.6		
68.3	67.3	69.6	86.7	103.6	107.6	111.6		
69.1	67.6	71.2	90.2	103.6	107.6	111.6		
69.1	(1.6)	3.2	19.0	4.4	4.0	4.0		
\$4.06	\$0.44	\$2.06	\$6.68	\$21.10	\$34.44	\$44.06		
(51.0)	(1.0)	(3.2)	(8.0)	(16.0)	(24.0)	(32.0)		
\$2.59	(81.47)	(60.43)	\$6.55	\$31.19	\$32.78	\$44.25		

Exhibit 3: LITE: Revenue Breakdown

[illegible]

MORGAN STANLEY RESEARCH

Exhibit 4: LITE: Balance Sheet

	Sep-24	Dec-24	Mar-25	Jun-25	Sep-25	Dec-25	Mar-26	Jun-26	Sep-26	Dec-26	Mar-27	Jun-27	Sep-27	Dec-27	Mar-28	Jun-28	Sep-28	Dec-28	Mar-29	Jun-29	FY	FY	FY	FY	FY	FY	FY
	Q1-25A	Q2-25A	Q3-25A	Q4-25A	Q1-26A	Q2-26A	Q3-26A	Q4-26A	Q1-27E	Q2-27E	Q3-27E	Q4-27E	Q1-28E	Q2-28E	Q3-28E	Q4-28E	Q1-29E	Q2-29E	Q3-29E	Q4-29E	2023A	2024A	2025A	2026A	2027E	2028E	2029E
Assets																											
Cash and cash equivalents	489.2	479.7	516.4	520.1	772.9	697.7	2,617.8	2,043.5	1,804.6	2,070.2	2,337.5	2,814.2	2,670.7	2,412.8	3,826.5	4,695.4	4,896.6	4,661.5	6,322.9	7,481.1	689.0	436.7	520.7	2,043.5	2,814.2	4,695.4	7,481.1
Short-term investments	420.9	417.0	390.3	356.4	340.9	497.5	504.5	694.5	694.9	694.0	694.9	694.9	694.9	694.9	694.9	694.9	694.9	694.9	694.9	694.9	1,154.6	405.3	396.4	694.9	694.9	694.9	694.9
Accounts receivable, net	198.5	226.9	295.7	250.5	307.0	376.8	441.6	520.3	752.5	833.7	898.8	959.0	1,304.3	1,409.9	1,421.8	1,429.6	1,582.4	1,741.3	1,974.6	2,034.4	246.1	194.7	250.0	520.3	959.0	1,429.6	2,034.4
Inventories, net	403.3	402.3	422.9	470.1	531.6	570.4	632.8	661.6	808.4	841.6	1,046.6	1,166.0	1,347.4	1,538.3	1,605.1	1,708.7	1,836.6	1,939.6	2,162.5	2,258.7	408.6	398.4	470.1	661.6	1,166.0	1,708.7	2,258.7
Prepayments and other current assets	118.3	125.5	122.0	120.1	125.2	180.7	149.0	211.8	250.3	294.5	329.1	370.9	433.8	498.0	520.5	553.0	593.4	626.5	710.9	732.4	109.6	110.0	120.1	211.6	370.9	553.0	732.4
Total current assets	1,836.2	1,651.4	1,667.3	1,717.3	2,085.6	2,283.2	4,365.7	4,161.9	4,310.6	4,834.9	5,307.1	6,005.1	6,451.2	6,854.0	8,068.8	9,079.7	9,603.9	9,664.2	11,865.8	13,201.6	2,777.9	1,590.1	1,717.3	4,161.9	6,005.1	9,079.7	13,201.6
Property, plant and equipment, net	630.4	663.4	693.3	726.1	794.8	813.5	964.3	1,158.1	1,321.6	1,514.4	1,728.4	1,968.9	2,252.0	2,377.4	2,908.9	3,254.3	3,616.8	3,998.5	4,423.7	4,867.9	489.5	573.5	726.1	1,158.1	1,968.9	3,254.3	4,867.9
Goodwill	1,060.9	1,060.9	1,060.9	1,060.9	1,060.9	1,060.9	1,060.9	1,060.9	1,060.9	1,060.9	1,060.9	1,060.9	1,060.9	1,060.9	1,060.9	1,060.9	1,060.9	1,060.9	1,060.9	1,060.9	695.1	1,060.9	1,060.9	1,060.9	1,060.9	1,060.9	1,060.9
Intangible, net	573.9	534.9	499.8	465.1	434.7	396.7	362.9	326.9	296.9	266.9	236.9	206.9	176.9	146.9	116.9	86.9	56.9	26.9	16.9	6.9	459.2	617.5	465.1	326.9	206.9	86.9	6.9
Deferred income taxes	12.5	11.0	12.7	210.3	204.6	206.1	197.9	530.9	530.9	530.9	530.9	530.9	530.9	530.9	530.9	530.9	530.9	530.9	530.9	530.9	116.3	10.7	210.3	530.9	530.9	530.9	530.9
Other non-current assets	41.7	44.5	41.0	38.7	36.5	44.0	40.8	59.5	59.4	59.4	59.4	59.4	59.4	59.4	59.4	59.4	59.4	59.4	59.4	59.4	84.1	85.3	38.7	59.4	59.4	59.4	59.4
Total Assets	3,969.6	3,966.1	3,970.0	4,218.7	4,613.1	4,805.3	7,027.9	7,307.5	7,886.7	8,275.8	8,932.0	9,840.4	10,539.6	10,937.9	12,764.1	14,088.5	14,940.2	15,349.5	17,975.1	19,735.7	4,632.1	3,931.9	4,218.7	7,307.5	9,840.4	14,088.5	19,735.7
Liabilities & Shareholders' Equity																											
Accounts payable	163.1	184.7	195.2	225.2	278.6	347.4	392.7	507.4	404.2	549.3	610.6	825.9	673.7	89.7	936.3	1,208.9	918.3	113.1	1,261.5	1,599.9	169.4	126.3	225.2	567.4	825.9	1,208.9	1,599.9
Accrued payroll and related expenses	42.0	40.1	42.8	57.5	69.3	85.3	109.7	145.5	88.2	103.7	115.9	130.7	152.8	175.5	183.4	194.8	209.0	220.8	250.4	258.0	39.4	36.1	57.9	146.3	130.7	194.8	258.0
Income taxes payable	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Accrued expenses	39.7	46.2	43.5	34.5	45.5	39.2	48.9	64.9	150.2	176.7	197.4	222.8	260.3	298.8	312.3	331.8	356.0	376.1	426.5	439.4	61.2	62.4	34.6	64.9	222.8	331.8	439.4
Short-term debt	10.8	9.8	10.3	10.6	10.8	10.0	3,240.2	3,238.6	1,596.9	1,596.9	1,596.9	1,596.9	1,596.9	1,596.9	1,596.9	1,596.9	1,596.9	1,596.9	1,596.9	1,596.9	311.6	-	-	10.6	1,596.9	1,596.9	1,596.9
Other current liabilities	49.5	66.1	61.2	61.5	57.9	55.5	75.4	105.0	126.1	148.4	165.8	189.9	218.6	251.5	262.3	278.7	299.0	315.5	358.2	369.1	62.2	54.5	61.5	105.0	189.9	278.7	369.1
Total current liabilities	305.1	346.9	393.0	392.8	1,526.2	3,767.6	3,865.3	2,480.5	2,365.5	2,874.9	2,886.7	2,963.0	2,902.3	2,411.9	3,291.2	3,611.1	3,379.3	2,622.9	3,893.5	4,263.4	633.8	269.3	392.8	2,480.5	2,963.0	3,611.1	4,263.4
Convertible Debt	2,569.2	2,561.2	2,592.4	2,562.8	2,164.5	47.1	43.2	40.5	40.5	40.5	40.5	40.5	-	-	-	-	40.5	40.5	40.5	40.5	40.5	-	-	-	40.5	40.5	40.5
Term Loan	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Other non-current liabilities	199.4	185.7	180.1	128.6	141.6	144.0	146.0	142.6	142.6	142.6	142.6	142.6	142.6	142.6	142.6	142.6	142.6	142.6	142.6	142.6	142.5	202.1	128.6	142.6	142.6	142.6	142.6
Total Liabilities	3,073.4	3,093.8	3,095.5	3,084.0	3,833.3	3,958.7	4,054.5	2,663.6	2,548.6	2,758.1	2,869.8	3,144.1	3,085.4	2,695.0	3,474.3	3,794.2	3,662.4	2,806.0	4,076.6	4,446.5	3,276.3	2,974.6	3,084.0	2,663.6	3,144.1	3,794.2	4,446.5
Redeemable Series A preferred stock	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Common stock, par value	0.1	0.1	0.1	0.1	0.1	0.1	0.1	0.1	0.1	0.1	0.1	0.1	0.1	0.1	0.1	0.1	0.1	0.1	0.1	0.1	0.1	0.1	0.1	0.1	0.1	0.1	0.1
Additional paid-in capital	884.2	862.0	869.3	1,126.6	771.6	837.1	2,985.3	4,633.6	5,029.9	5,507.6	6,002.0	6,694.2	7,444.2	8,332.5	9,269.7	10,276.2	11,357.7	12,533.4	13,868.3	15,279.1	1,351.6	947.9	1,126.6	4,633.6	6,694.2	10,276.2	15,279.1
JOSU net investment	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Accumulated other comprehensive (loss) income	11.6	10.2	11.1	3.5	9.1	9.4	7.0	10.0	10.0	10.0	10.0	10.0	10.0	10.0	10.0	10.0	10.0	10.0	10.0	10.0	4.1	9.3	9.0	10.0	10.0	10.0	10.0
Total Shareholders' Equity	896.0	872.3	879.5	1,134.7	780.8	846.6	2,973.4	4,643.9	6,040.0	5,517.7	6,062.1	6,696.3	7,454.3	8,342.5	9,279.8	10,293.3	11,377.8	12,543.5	13,898.4	15,289.2	1,355.8	957.3	1,134.7	4,643.9	6,694.3	10,286.3	15,289.2
Total Liabilities and Shareholders' Equity	3,969.6	3,966.1	3,970.0	4,218.7	4,613.1	4,805.3	7,027.9	7,307.5	7,886.7	8,275.8	8,932.0	9,840.4	10,539.6	10,937.9	12,764.1	14,088.5	14,940.2	15,349.5	17,975.1	19,735.7	4,632.1	3,931.9	4,218.7	7,307.5	9,840.4	14,088.5	19,735.7

Source: Company data, Morgan Stanley Research

Exhibit 5: LITE: Cash Flow Statement

	Sep-24	Dec-24	Mar-25	Jun-25	Sep-25	Dec-25	Mar-26	Jun-26	Sep-26	Dec-26	Mar-27	Jun-27	Sep-27	Dec-27	Mar-28	Jun-28	Sep-28	Dec-28	Mar-29	Jun-29		FY	FY	FY	FY	FY	FY	FY
	Q1-25A	Q2-25A	Q3-25A	Q4-25A	Q1-26A	Q2-26A	Q3-26A	Q4-26A	Q1-27E	Q2-27E	Q3-27E	Q4-27E	Q1-28E	Q2-28E	Q3-28E	Q4-28E	Q1-29E	Q2-29E	Q3-29E	Q4-29E		2023A	2024A	2025A	2026A	2027E	2028E	2029E
GAAP Cash Flow Statement																												
OPERATING ACTIVITIES:																												
Net income (loss)	(82.4)	(60.9)	(44.1)	213.3	4.2	78.2	144.2	(7,161.7)	346.0	427.5	494.4	982.0	709.9	838.6	886.8	996.3	1,041.5	1,115.6	1,304.8	1,340.7	(131.6)	(646.5)	25.9	(6,935.1)	1,890.0	3,391.6	4,802.6	
Depreciation	27.0	25.9	26.9	28.1	29.5	28.9	32.8	37.6	45.2	51.5	59.0	67.4	76.8	87.6	100.5	113.4	126.9	141.1	155.9	172.8	106.6	110.4	107.9	128.8	223.2	378.5	596.8	
Amortization of acquired technologies and other intang.	43.6	39.0	30.0	34.7	34.4	34.0	33.8	36.0	30.0	30.0	30.0	30.0	30.0	30.0	30.0	30.0	30.0	30.0	30.0	10.0	10.0	140.0	179.7	147.3	138.2	120.0	120.0	80.0
Stock-based compensation	35.6	38.8	62.8	40.6	46.5	41.3	41.6	40.8	50.1	50.1	50.1	50.1	50.1	50.1	50.1	50.1	50.1	50.1	50.1	50.1	148.4	128.8	177.2	170.2	200.4	200.4	200.4	
Other non-cash (income) expenses	5.9	(6.7)	47.7	-	(268.5)	281.8	(1.8)	7,737.4	-	-	-	-	-	-	-	-	-	-	-	-	44.0	13.3	46.9	7,770.5	-	-	-	-
Changes in operating assets and liabilities:																												
Accounts receivable	(3.8)	(28.4)	(28.8)	5.7	(57.0)	(69.7)	(64.8)	(78.7)	(232.2)	(81.2)	(65.1)	(60.2)	(345.4)	(105.6)	(11.8)	(7.9)	(152.8)	(158.9)	(233.3)	(59.8)	83.2	72.3	(95.3)	(270.2)	(438.7)	(470.8)	(604.8)	
Inventories	(6.5)	1.5	(20.6)	(47.2)	(61.5)	(41.0)	(62.7)	(58.8)	(116.8)	(133.3)	(105.1)	(119.3)	(181.4)	(190.9)	(66.8)	(101.6)	(129.9)	(103.0)	(222.9)	(96.3)	(61.5)	73.8	(72.8)	(224.0)	(474.4)	(540.7)	(552.0)	
Other current and non-current assets	(16.8)	4.2	7.0	4.2	(2.9)	(26.2)	7.5	(81.2)	(38.7)	(44.2)	(34.8)	(41.9)	(62.8)	(64.2)	(22.5)	(32.5)	(40.4)	(33.5)	(84.0)	(21.5)	(4.9)	29.7	(1.4)	(102.8)	(159.3)	(182.1)	(179.4)	
Accounts payable	32.6	6.1	10.5	30.0	53.4	26.5	29.5	174.7	(183.7)	145.1	61.3	215.3	(152.7)	(84.0)	84.6	272.6	(250.6)	(805.2)	1,148.3	33.8	174.9	(74.9)	(68.7)	79.2	264.1	258.5	383.0	391.6
Income taxes payable	7.2	21.3	-	-	1.5	16.4	-	-	-	-	-	-	(15.2)	-	-	-	-	-	-	-	(3.9)	77.7	-	-	10.8	-	-	-
Deferred taxes, net	-	-	-	(1.7)	(197.6)	5.7	(6.7)	-	(333.0)	-	-	-	-	-	-	-	-	-	-	-	-	-	-	(199.3)	33.4	-	-	-
Accrued payroll and related expenses	5.9	(1.9)	2.7	15.1	11.4	16.0	24.4	36.6	(58.1)	15.6	12.2	14.7	22.1	22.6	7.9	11.4	14.2	11.8	29.6	7.6	(36.3)	(8.9)	21.8	(88.0)	(15.6)	64.1	83.2	
Accrued expenses and other current and non-current liabilities	(8.7)	(13.0)	(13.2)	19.7	13.2	9.0	5.0	42.2	(58.4)	(6.8)	36.2	46.2	(98.4)	70.0	24.8	39.8	44.6	36.9	96.7	23.8	17.8	(18.7)	(93.0)	80.7	239.9	260.0	(10.0)	(188.0)
Net cash from Operations	38.6	24.3	73.2	69.2	(190.9)	374.6	203.8	411.5	(51.3)	510.0	580.4	764.5	216.5	155.1	1,046.5	1,373.8	653.6	865.9	2,291.5	1,765.9	14.9	24.7	212.3	986.3	1,818.9	3,545.2	4,998.6	
INVESTING ACTIVITIES:																												
Acquisitions of businesses, net of cash acquired	-	-	-	-	-	-	-	(31.0)	-	-	-	-	-	-	-	-	-	-	-	-	(661.6)	(700.9)	-	(38.0)	-	-	-	-
Capital expenditures	(74.1)	(46.2)	(42.5)	(47.1)	(57.8)	(103.0)	(134.7)	(167.0)	(207.7)	(244.4)	(273.1)	(207.8)	(359.9)	(413.3)	(431.9)	(458.0)	(492.4)	(520.2)	(589.9)	(607.7)	(128.1)	(133.0)	(107.9)	(451.5)	(1,032.9)	(1,664.0)	(2,216.1)	
Purchase / sale of securities	26.8	9.5	-	-	-	(139.4)	(56.8)	(140.4)	-	-	-	-	-	-	-	-	-	-	-	-	115.5	718.8	36.3	336.6	-	-	-	-
Proceeds from the sales of a business and assets, net	0.2	-	-	-	-	-	39.6	-	-	-	-	-	-	-	-	-	-	-	-	-	0.3	0.8	0.2	39.6	-	-	-	-
Net cash from Investing Activities	(47.1)	(39.7)	(42.8)	(47.1)	(57.8)	(241.4)	(181.9)	(307.4)	(207.7)	(244.4)	(273.1)	(207.8)	(359.9)	(413.3)	(431.9)	(458.0)	(492.4)	(520.2)	(589.9)	(607.7)	(874.9)	(1143)	(167.4)	(788.5)	(1,812.9)	(1,664.0)	(2,216.1)	
FINANCING ACTIVITIES:																												
Convertible Proceeds	-	-	-	-	500.0	794.7	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	1,254.7	-	-	-	-
Other Cash Flow from Financing	60.0	(3.1)	-	-	(500.0)	(224.9)	(1,538.2)	(678.9)	-	-	-	-	-	-	-	-	-	-	-	-	263.0	(332.7)	56.8	295.8	-	-	-	-
Net cash provided by Financing Activities	60.0	(3.1)	-	-	(500.0)	(224.9)	(1,538.2)	(678.9)	-	-	-	-	-	-	-	-	-	-	-	-	263.0	(332.7)	56.8	295.8	-	-	-	-
FX Impact																												
Cash and cash equivalents at beg. of period	436.7	459.2	479.7	516.4	520.7	723.9	657.7	2,617.6	2,043.5	1,804.6	2,070.2	2,307.5	2,814.2	2,870.7	2,412.8	3,605.5	4,856.4	4,806.6	4,561.5	6,322.9	-	-	(17.8)	436.7	459.2	479.7	516.4	4,656.4
Net increase (decrease) in cash and cash equivalents	2.5	(9.5)	36.3	4.3	252.2	(115.2)	1,960.1	(674.3)	(238.9)	265.6	267.3	476.7	(143.5)	(257.9)	141.3	889.0	2,011.2	(235.1)	1,661.4	1,158.1	(431.2)	(422.3)	84.0	1,523.8	770.7	1,881.2	2,765.1	
Cash and cash equivalents at end of period	439.2	479.7	516.4	520.7	772.9	672.7	2,617.8	2,043.5	2,614.2	2,670.7	2,337.5	2,814.2	2,670.7	2,412.8	3,626.6	4,065.4	4,856.6	4,611.5	6,322.9	7,481.0	859.9	436.7	620.7	520.2	1,604.5	4,056.4	7,481.0	

Risk Reward Reference links

1. View explanation of Options Probabilities methodology - [Options_Probabilities_Exhibit_Link.pdf](#)
2. View descriptions of Risk Rewards Themes - [RR_Themes_Exhibit_Link.pdf](#)
3. View explanation of regional hierarchies - [GEG_Exhibit_Link.pdf](#)
4. View explanation of Theme/Exposure methodology - [ESG_Sustainable_Solutions_External_Link.pdf](#)
5. View explanation of HERS methodology - [ESG_HERS_External_Link.pdf](#)

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(as of July 31, 2026)

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Stock Rating Category	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1529	42%	442	47%	29%	750	43%
Equal-weight/Hold	1582	43%	396	42%	25%	773	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	560	15%	97	10%	17%	217	12%
Total	3,674		936			1741	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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Overweight (O). The stock's total return is expected to exceed the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

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Not-Rated (NR). Currently the analyst does not have adequate conviction about the stock's total return relative to the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

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Unless otherwise specified, the time frame for price targets included in Morgan Stanley Research is 12 to 18 months.

Analyst Industry Views

Attractive (A): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be attractive vs. the relevant broad market benchmark, as indicated below.

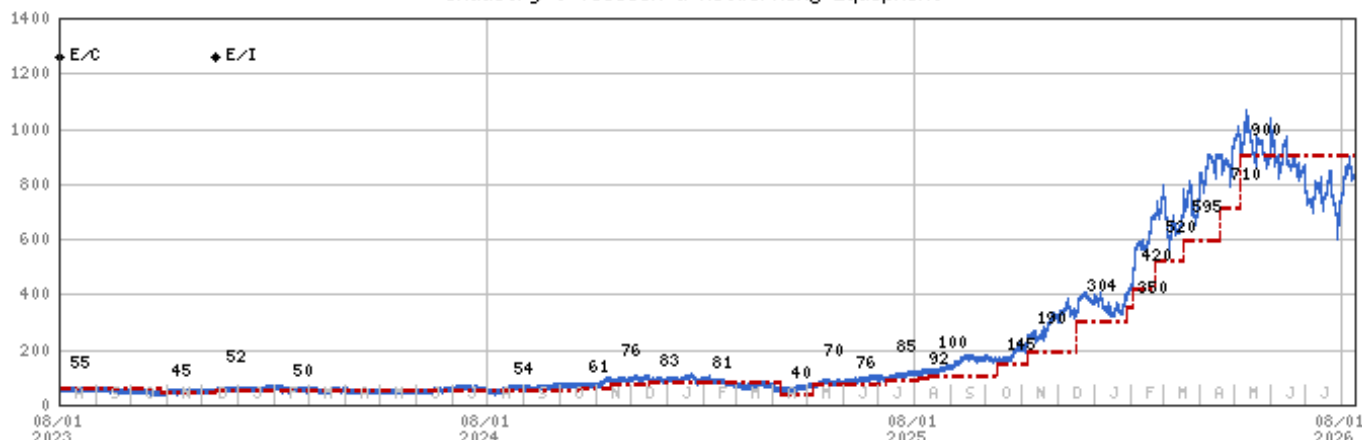
In-Line (I): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be in line with the relevant broad market benchmark, as indicated below.

Cautious (C): The analyst views the performance of his or her industry coverage universe over the next 12-18 months with caution vs. the relevant broad market benchmark, as indicated below.

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Stock Price, Price Target and Rating History (See Rating Definitions)

Lumentum Holdings Inc (LITE.O) - As of 08/12/26 GMT in USD
Industry : Telecom & Networking Equipment



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COMPANY (TICKER)	RATING (AS OF)	PRICE* (08/11/2026)
Meta A Marshall		
Arista Networks (ANET.N)	O (10/31/2023)	\$197.85
Axon Enterprise Inc (AXON.O)	O (12/03/2024)	\$636.31
Ciena Corporation (CIEN.N)	E (10/10/2025)	\$387.53
Cisco Systems Inc (CSCO.O)	O (04/08/2024)	\$120.43
Coherent Corp (COHR.N)	E (12/13/2023)	\$328.57
Corning Inc (GLW.N)	E (06/13/2024)	\$159.19
F5 Inc (FFIV.O)	E (04/12/2022)	\$414.00
Keysight Technologies Inc (KEYS.N)	O (07/13/2026)	\$343.70
Lumentum Holdings Inc (LITE.O)	E (05/12/2021)	\$820.59
Motorola Solutions Inc (MSI.N)	O (12/17/2025)	\$466.86
Zebra Technologies Corporation (ZBRA.O)	E (12/02/2024)	\$383.06

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